SupplierPulse — Procurement Performance Review

Supplier performance, spend concentration and purchasing risk · Harjot Sandhu · analysis window FY2022-FY2026 (1 Oct 2021 - 30 Sep 2026)

> **Two kinds of evidence.** Spend, concentration and price findings use **observed** City of Austin purchase-order data. That data has no delivery dates, so delivery, quality and scorecard findings use a clearly labelled **synthetic** demonstration dataset of anonymous suppliers. Synthetic results show the method; they are not real-world supplier performance.

1. WHAT WAS ANALYSED

Which suppliers are reliable, where purchasing spend and dependency are concentrated, where prices for identical items are inconsistent, and which issues procurement should act on first.

2. DATA USED

- Observed City of Austin Open Data: 58,207 goods PO lines, 31,994 POs, 1,935 vendors, $1.66B awarded value.
- Synthetic 14 anonymous suppliers, 4,837 PO lines and 4,841 goods receipts (deterministic, seed 20261015).

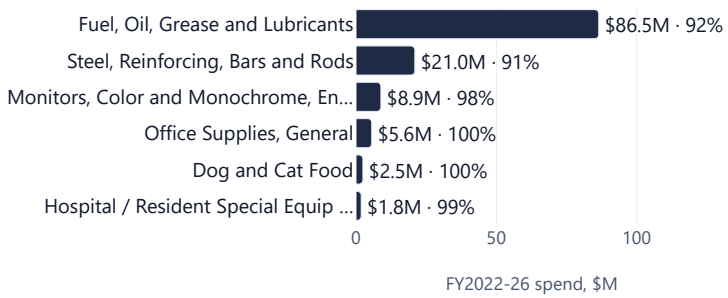
$1.66B spend FY2022-FY2026

117 vendors = 80% of spend

6 single-vendor categories

94% spend on master agreements

Categories where one vendor holds ≥ 90% of spend Observed



3. MOST IMPORTANT SUPPORTED FINDINGS

- Observed **Dependency is concentrated, not spend overall.** The largest vendor holds only 5.1% of total spend, but 52 of 79 categories over $1M are highly concentrated (HHI ≥ 2,500), and in 6 one vendor holds ≥ 90% ($126.2M). The largest is fuel: 92% of $86.5M, bought on recurring orders.
- Observed **Identical items got sharply more expensive.** Distribution-transformer prices rose a median 34% (up to 119%) from FY2022 to FY2023, consistent with the industry-wide transformer shortage.
- Observed **Same-item price dispersion:** 153 lines were priced ≥ 1.5× the item's median in the same year ($2.0M–$4.8M above median over five years, the lower figure with order size held comparable; modelled, covering 5% of spend).
- Synthetic **The method flags a deteriorating critical supplier:** SUP-01 holds 74% of its category, yet OTIF fell from 93% to 63%; score 44/100.

4. BUSINESS RISKS IDENTIFIED

- **Supply continuity:** where one vendor dominates a category (fuel, monitors, office supplies), the purchasing record shows no established alternative at scale; this warrants review, not a conclusion about the vendor.
- **Budget exposure:** long-lead electrical equipment repriced by a median 34% (up to 119%) in one year.
- **Negotiating leverage:** high concentration in large categories weakens competition at renewal.

5. THREE ACTIONS TO PRIORITISE

#	Where	Evidence	Recommended action
1	**405 Fuel, Oil, Grease and Lubricants** Observed Single-vendor concentration (exposure to review)	Top vendor holds 92% of $86.5M FY2022-FY2026 spend (Top vendor: Pinnacle Petroleum Incorporated; 261 orders over 5 FY (recurring); 14 vendors in class)	Review the award history and confirm whether a tested contingency source (secondary award or backup agreement) exists before the next renewal.
2	**285 Electrical Equipment and Supplies (except Cable and Wire)** Observed Sharp year-over-year price increases	21 comparable item(s) rose ≥ 25% year over year; median increase 35%; $20.6M spent on them in the later year	Benchmark against market price indices, use index-linked price-adjustment clauses with caps, and plan forward buys or multi-award agreements for long-lead items.
3	**SUP-01 (Synthetic Supplier 01)** Synthetic High-dependency supplier with poor, deteriorating delivery	Score 44/100 (rank 10); OTIF 93% → 63%; 74% of category spend	Hold a formal performance review with a corrective action plan and a 95% OTIF target; qualify the alternative supplier for part of the volume. Modelled scenario: moving 30% of its ELEC volume to SUP-02 would avoid an estimated 36 late lines a year, if that supplier kept its current OTIF.

6. LIMITATIONS

- Austin "spend" is awarded PO value, not invoices or payments; cancellations after award are not visible.
- No delivery, receipt or quality data exists in the public source, so no real supplier is rated on delivery.
- Concentration can be a deliberate result of competitive bidding; price differences may reflect urgency, quantity or specification.
- Modelled amounts (price harmonisation, scenarios) are opportunities to investigate, not realised savings.

Source: City of Austin Open Data, dataset 3ebq-e9iz (data.austintexas.gov), snapshot built 10/05/2026; offered free and without restriction under the City of Austin Open Data Terms of Use. Full methodology: github repository docs/methodology.md.